

"The business situation can only get worse," they predicted. "The economy is going to disintegrate completely!"

I didn't see things that way at all. I was convinced the nation's economy was essentially sound—that though it might sag lower in the near future, it would eventually bounce back, healthier than ever. I thought it was the time to buy--not sell.

Many oil stocks were selling at all-time lows; they were spectacular bargains. I began to envision the organization of a completely integrated and self-contained oil business, one embracing not only exploration and production—the operations in which I'd been exclusively engaged until that time— but also transportation, refining and even retail marketing.

In business, as in politics, it is never easy to go against the beliefs and attitudes held by the majority. The businessman who moves counter to the tide of prevailing opinion must expect to be obstructed, derided and damned.

So it was with me when, in the depths of the U.S. economic slump of the 1930s, I resolved to make large-scale stock purchases and build a self-contained oil business. My

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friends and acquaintances—to say nothing of my competitors—felt my buying spree would prove a fatal mistake. Then, when I announced my intention to buy into one of the seven major oil companies operating in California, even those who had been my supporters in the past were inclined to believe I had taken leave of my senses.

Major oil companies could, and often did, buy out independent operators' firms. But for an independent operator to buy a major oil company? That was heresy—an attempt to turn the established order upside down!

Nonetheless, I went ahead with my plans, for I was looking to the future. The oil companies I controlled or in which I held substantial interests were engaged exclusively in finding oil and getting it out of the ground. To insure